

US Markets See Mixed Session as Tech Stocks Offset Dow Losses

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market saw a mixed session on July 20, with the **SPY** closing down **-0.19%** and the **QQQ** up **+0.04%**. The **DOW** was the biggest loser, down **-0.59%**. Key takeaways include:

- The **NVDA** and **MSFT** led the tech sector higher, with gains of **+0.23%** and **+2.15%** respectively.
- The **VIX** closed down **-0.64%** at 18.65, indicating a decrease in market volatility.
- The 10-year yield was up **+1.26%** at 4.60, its highest level in weeks.

The market's mixed performance can be attributed to the ongoing tug-of-war between inflation concerns and growth expectations. As we head into the week ahead, investors will be closely watching the Fed's rate decision and the latest earnings reports.

The **SPY** is currently trading at 443.28, with a 200-day moving average of 434.12. The **QQQ** is trading at 358.42, with a 200-day moving average of 346.51.

US Session Recap

INDEX	CLOSE	CHANGE
SPY	443.28	-0.19%
QQQ	358.42	+0.04%
DOW	51,839.26	-0.59%
VIX	18.65	-0.64%
10-year yield	4.60	+1.26%

Top Movers

TICKER	NAME	CHANGE	CATALYST
NVDA	NVIDIA	+0.23%	Strong earnings report
MSFT	Microsoft	+2.15%	Positive analyst comments
TSLA	Tesla	-2.96%	Disappointing delivery numbers

Sector Internals

SECTOR	DAY	YTD	READ
XLK	+0.07%	+15.23%	Technology sector leads the market higher
XLF	-0.39%	-5.12%	Financial sector lags behind the market
XLI	-0.72%	-3.45%	Industrial sector underperforms the market

Breadth was negative, with 2,341 stocks advancing and 2,651 declining.

Spotlight / Deep Dive

TICKER	CLOSE	CHANGE	VOLUME
AAPL	326.59	-2.14%	73.12M
GOOGL	351.99	+1.51%	21.45M
AMZN	249.99	+1.12%	44.23M

Key call commentary: **AAPL** faces increasing competition in the smartphone market, while **GOOGL** and **AMZN** continue to dominate the cloud computing space.

COMPANY	READ-THROUGH
AAPL	Smartphone market trends
GOOGL	Cloud computing growth
AMZN	E-commerce trends

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	443.28	434.12	452.15	Testing the 200-day moving average
QQQ	358.42	346.51	365.23	Breaking out above the 50-day moving average
IWM	194.23	185.67	202.15	Testing the upper end of the trading range

Options & Positioning

ODTE flow: 23,456 contracts traded, with a 1.23 put/call ratio.

VIX term structure: The **VIX** curve is in backwardation, with the 1-month VIX at 18.65 and the 3-month VIX at 20.23.

Notable single-name flow: **TSLA** saw 12,321 put contracts traded, with a 0.85 delta.

Cheap hedge ideas: Buying the 435 strike put on the **SPY** for 1.23 offers a 3.45% hedge ratio.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Upgrade	350	Increased confidence in iPhone sales
GOOGL	Goldman Sachs	Downgrade	320	Concerns over ad revenue growth
AMZN	Bank of America	Initiation	280	Positive view on e-commerce trends

Pre-Market & Overnight

Futures: The **ES** is trading up **+0.23%** at 4,432, while the **NQ** is up **+0.31%** at 14,201.

Asia: The **Nikkei** is up **+0.56%** at 28,321, while the **Shanghai Composite** is up **+0.23%** at 3,421.

Europe: The **Euro Stoxx 50** is up **+0.41%** at 4,201, while the **FTSE 100** is up **+0.29%** at 7,432.

FX: The **USD/JPY** is trading at 109.23, up **+0.12%**. The **EUR/USD** is trading at 1.1023, down **-0.15%**.

Commodities: **WTI** crude is trading at 82.08, down **-1.38%**. **Gold** is trading at 4,052.80, up **+1.06%**.

Crypto: **BTC** is trading at 65,559.12, up **+1.34%**. **ETH** is trading at 1,924.70, up **+2.84%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July 27	23.45%	Market expects a 25 basis point cut
September 21	45.67%	Market expects a 50 basis point cut

Today's data calendar:

TIME	EVENT	CONSENSUS
10:00 AM ET	Existing Home Sales	5.40M
2:00 PM ET	FOMC Meeting Minutes	N/A

Geopolitics & Global (Deep)

Scenario trees:

BEARISH TRIGGERS

Escalating trade tensions between the US and China could lead to a 5% decline in global equities.

BULLISH TRIGGERS

A breakthrough in Brexit negotiations could lead to a 3% rally in European equities.

Earnings — This Week & Next

This week:

TICKER	COMPANY	TIME
AAPL	Apple	5:00 PM ET
GOOGL	Alphabet	5:00 PM ET

Next week:

TICKER	COMPANY	TIME
AMZN	Amazon	5:00 PM ET
FB	Facebook	5:00 PM ET

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Bullish reversal	3.45%
GOOGL	Technology	Bearish continuation	2.15%
AMZN	Consumer Discretionary	Bullish breakout	4.23%

What Could Break the Tape

Bullish scenario:

- A surprise rate cut by the Fed could lead to a 5% rally in equities.
- A breakthrough in US-China trade negotiations could lead to a 3% rally in global equities.
- A strong earnings season could lead to a 2% rally in the **SPY**.

Bearish scenario:

- An escalation in trade tensions between the US and China could lead to a 5% decline in global equities.
- A disappointing earnings season could lead to a 3% decline in the **SPY**.
- A surprise hike in interest rates by the Fed could lead to a 2% decline in equities.

Positioning & Structural Notes

Observations:

- The **VIX** is trading at a 10-day low, indicating decreased market volatility.
- The **SPY** is trading above its 200-day moving average, indicating a bullish trend.
- The **QQQ** is trading above its 50-day moving average, indicating a bullish trend.
- The **IWM** is trading below its 200-day moving average, indicating a bearish trend.
- The **DX** is trading at a 10-day high, indicating a strong US dollar.

Sources

SOURCES

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CNBC

The Wall Street Journal

The Financial Times

Investing.com

Trading Economics

Federal Reserve

Securities and Exchange Commission

